01 / THE US CLOSE

The AI selloff hit suppliers hardest

A two-day reversal in US equities exposed a difference between the companies building data centres, the companies buying the equipment and the investors financing both.

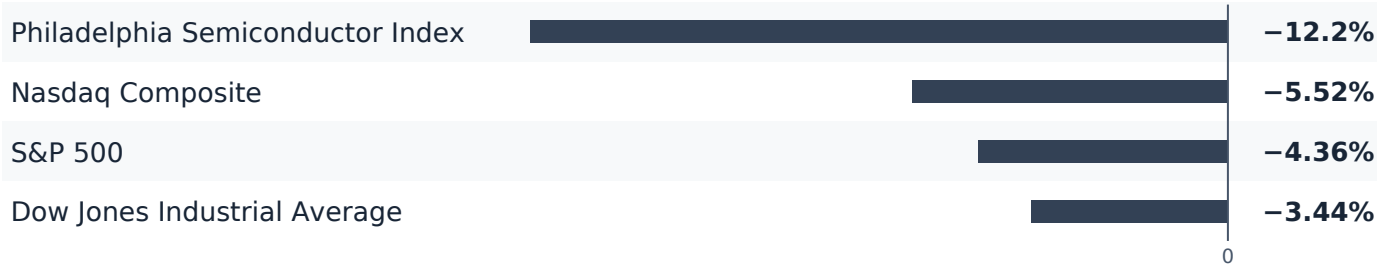
Three takeaways

Chip stocks led the decline. The Philadelphia Semiconductor Index fell 12.2% on 5 November. **Short-maturity Treasury yields fell furthest.** The 2-year yield fell 12 basis points. **The Swiss franc also strengthened.** It gained 0.2% against the US dollar in early Asian trading on 6 November.

Source · reuters.com, home.treasury.gov [4] [11] [13]

Chip shares fell more than twice as far as the Nasdaq Composite

US market close · 5 Nov 2026 · one-day price change (%)



Each bar starts at zero. A longer bar to the left means a larger one-day loss. Each benchmark holds a different basket of shares.

Source · reuters.com [2] [4]

The divergence started during the rally

On 4 November the S&P 500 gained 1.6% as the election result reduced uncertainty, yet the Philadelphia chip index fell 3.1%. The next day the S&P 500 closed at 7,353.73 and all 11 sectors declined. **The market had already begun to distinguish equipment suppliers from their customers before the broad selloff.**

Source · reuters.com, channelnewsasia.com [1] [2] [3]

Why the election mattered to investors

Democrats won both chambers of Congress. Local votes and opposition to data-centre projects raised questions about permitting, power and water. A longer approval process can push a chip order into a later quarter. The size of that delay remains unknown.

Source · reuters.com [1] [6]

02 / THE AI VALUE CHAIN

One buyer’s spending is another company’s revenue

A delay can move the same cash payment in opposite directions on two companies’ accounts. That difference helps explain the relative share-price moves.

Three ways to own the AI buildout

Selected US shares · 5 Nov 2026 close · one-day price change (%)

Exposure	Closing moves	What a delay changes
Memory and storage	SanDisk −22.26% Micron −17.46% Seagate −16.25%	Customers can defer purchases of memory and drives when new server capacity is delayed.
Chips and equipment	AMD −17.26% Lam Research −16.36% Nvidia −9.26%	Chip and equipment orders depend on build schedules. When many funds hold the same shares, selling can magnify price moves.
Cloud platforms	Amazon −2.2% Alphabet −2.2% Microsoft −3.58%	Later payments can preserve near-term cash. Delayed capacity can also postpone future cloud revenue.

Read across each row from the share-price change to the possible business effect. These are individual stocks. Amazon and Alphabet are shown at Reuters’ reported precision.

Source · Reuters, CNA; Swingfolio and Quant500 closing-price cross-checks [2] [3] [8]

Amazon shows why investors weighed both sides

AWS sales grew **39.3% year on year** in the September quarter. At group level, Amazon reported a **US$42.4 billion free cash outflow** over the trailing twelve months. Microsoft reported **48% year-on-year growth in Azure revenue** in its September quarter. Sales growth and cash available after investment answer different questions.

Source · sec.gov, microsoft.com [9] [10]

Who was selling?

Managers interviewed by Reuters described institutional selling and hedge funds reducing leverage. Qualcomm’s smartphone-chip sales missed estimates, while Arm guided next-quarter revenue slightly above consensus. **Positioning helps explain why selling spread across companies with different earnings news.** The interviews give no seller-by-seller flow totals.

Source · reuters.com, marketscreener.com [2] [6] [7]

03 / CROSS-ASSET MARKETS

Treasury yields fell fastest at the front end

Treasuries, gold and the Swiss franc provided three different price signals. They were observed at different times and reveal no dollar amount transferred from equities.

The 2-year yield fell four times as much as the 30-year yield

US Treasury par yields · 4–5 Nov 2026 · % per annum and basis points

Maturity	4 Nov	5 Nov	Change
2 years	4.58%	4.46%	−12 bp
5 years	4.69%	4.59%	−10 bp
10 years	4.90%	4.84%	−6 bp
30 years	5.28%	5.25%	−3 bp

Lower yields generally mean higher bond prices. These are indicative constant-maturity par yields near 3:30 pm New York time. An individual bond's price return depends on its duration.

Source · home.treasury.gov [11]

The curve bull-steepened

The 10-year minus 2-year spread widened by 6 bp. On 4 November, 4.90% − 4.58% = 0.32 percentage points, or 32 bp. On 5 November, 4.84% − 4.46% = 0.38 percentage points, or 38 bp. Both yields fell, with the short yield falling faster. One basis point equals 0.01 percentage point.

Source · home.treasury.gov [11]

Gold gained, then gave back part of its rise

Spot gold reached **US$4,146.63 per troy ounce** during 5 November trading. At 2:05 pm New York time Reuters put it at **US$4,100.27**, up 1% on the day. The high and the later quote describe two different moments.

Source · reuters.com [12]

Yes, CHF strengthened

In early Asian trading on 6 November, **CHF gained 0.2% against USD**. The yen also gained 0.2% before giving back part of its move. The US dollar index was roughly flat at 101.55. For someone funding USD assets in francs, a stronger CHF increases the debt measured in USD.

Source · reuters.com [13]

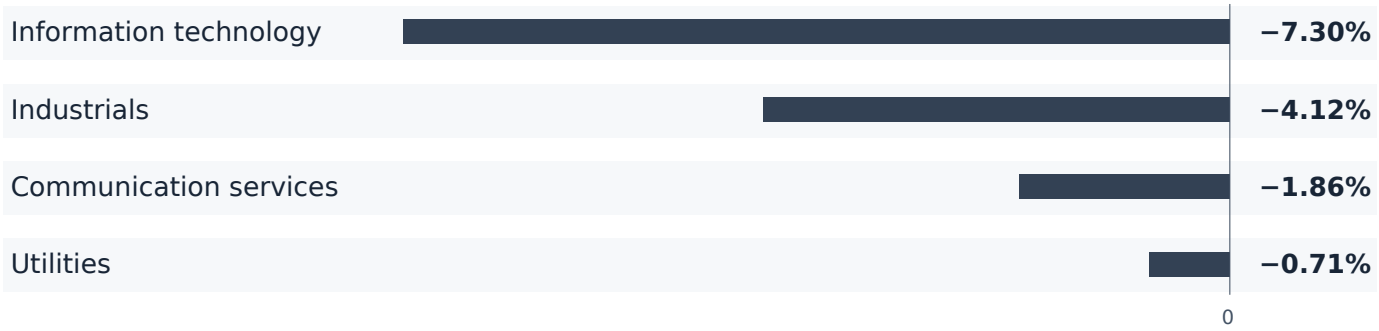
04 / SECTORS AND SINGAPORE

Singapore’s link runs through the chip supply chain

The sector spread shows how differently businesses traded on the same day. For a Singapore holding, its customers and order book are more informative than the exchange where its shares trade.

Technology fell furthest among these four sectors

Selected S&P 500 sector indices · 5 Nov 2026 close · one-day price change (%)



All 11 sectors fell. The four bars show selected sector price indices, not ETF returns.
A longer bar to the left means a larger one-day loss. Unconfirmed sector values are omitted.

Source · Reuters via CNA; public sector-price cross-checks [3] [5]

The regional exposure is tangible

In Asian trading on 6 November, Reuters reported Samsung Electronics down nearly 10% and SK Hynix down 12% during the session. In Singapore, Micron broke ground in January on a NAND flash-memory fab, with **about US$24 billion planned over ten years** and wafer output scheduled for the second half of 2028.

Source · reuters.com, investors.micron.com [4] [14]

> **What to check in a Singapore holding**
>
> Start with the company’s customers. A supplier of specialised parts may see orders move if a fab delays equipment deliveries. A Singapore bank would need a different transmission route, such as borrower or collateral exposure. A manufacturer’s investment plan alone gives no estimate of the STI’s sensitivity.

05 / PORTFOLIO REVIEW

Review the same risk across shares, notes and loans

An investor can hold a chip company directly, own it again through a fund and write downside exposure on it through a structured note. Each position responds differently to the same fall.

01 · Find repeated holdings

List direct shares, look through fund holdings and record each structured note's underlyings. **Keep funded equity exposure and contingent note exposure in separate columns.** Summing all note notionals as if they were shares would overstate or understate the immediate price sensitivity.

02 · Locate the weakest share in each fixed coupon note

For a worst-of basket, divide each share's spot price by its own initial fixing and rank the results. Then check the barrier, observation method, strike and maturity in the term sheet. If the share is above the barrier, the **fall from today's price to the barrier** equals 1 − (barrier price ÷ current price). A prior knock-in can still lead to par redemption under some terms.

Source · sc.com [15]

03 · Match Treasury duration to the cash need

A STRIP makes one payment at maturity and pays no interim coupon. A holder needing cash earlier can compare the current bid on the actual STRIP with the proceeds and reinvestment yield available at a shorter maturity. **Shortening duration reduces sensitivity to a renewed rise in long yields but introduces earlier reinvestment risk.**

Source · home.treasury.gov, treasurydirect.gov [11] [16]

04 · A CHF loan can magnify a USD drawdown

With USD/CHF quoted as francs per dollar, **USD value of CHF debt = CHF principal ÷ USD/CHF**. A lower USD/CHF raises the USD liability. If pledged US stocks fall at the same time, collateral also shrinks. Check the facility's recognised collateral values, loan balance, liquidity and margin threshold. For SGD borrowing, run the comparison using USD/SGD.

Source · reuters.com, dbs.com.sg [13] [17]

Next evidence to watch

Compare data-centre approvals with actual equipment orders, cloud revenue with cash capex, and the returns of suppliers with those of buyers. **Order deferrals and cancellations have different implications for future sales.**

06 / SOURCES AND DEFINITIONS

Sources and reading notes

US equity changes compare the 5 November close with the previous close. The 6 November Asian moves are intraday observations. Calculations use the displayed source values.

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02 **Reuters · Nasdaq correction and US closing prices**
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04 **Reuters · Asia trading and Philadelphia Semiconductor Index**
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05 **Public sector-price cross-checks**
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09 **Amazon · Third-quarter results, SEC exhibit 99.1**
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10 **Microsoft · First-quarter FY2027 results**
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Historical research, not personalised investment advice. No live-price representation.